LUMENTUM HOLDINGS INC.

Nasdaq: LITE | Indium phosphide lasers, optical transceivers and circuit switches for AI data centres | San Jose, California

Tommy Lau | 6 October 2026 | Initiation of coverage | Independent research

INITIATE AT NO CALL	**Target price:** None (no call)	**Last price:** US$1,091.67 (Nasdaq close, 5 October 2026)	**Upside:** Base value US$990 (-9%)

Lumentum is shipping behind demand for its lasers and is charging for it. At US$1,092 the shares already pay for the shortage to outlast the new factories.

Lumentum makes the indium phosphide lasers that turn AI network traffic into light. On 5 October I argued that the network's bottleneck has moved to the laser. The year of results behind that piece supports the claim: revenue rose 109% in the June 2026 quarter, GAAP gross margin rose from 33.3% to 47.4%, partly on higher prices, and the company is still shipping behind demand.

But the shortage has a timetable. Lumentum is expanding its two Japanese fabs and converting a new one in Greensboro for first revenue in early 2028. Nvidia put US$2bn into Coherent, its closest rival, on the day it invested in Lumentum. At US$1,091.67 the price needs fiscal 2028 revenue of about US$9.1bn at today's margins, three times fiscal 2026, in the year that capacity lands.

My call: NO CALL, medium conviction, leaning short. My base case is worth US$990, down 9%. The bear case is US$407 (down 63%) and the bull case US$1,474 (up 35%). I would revisit below about US$860 or above about US$1,320.

Stock data

LAST PRICE
US$1,091.67, Nasdaq close 5 October 2026; 52-week range US$147.81 to 1,124.40

MARKET VALUE
About US$98bn on 89.7m common shares; US$101bn with Nvidia's 2.9m preferred

NET CASH, 27 JUN 2026
US$1.09bn: cash and investments US$2.74bn, convertible notes US$1.55bn, loans US$0.09bn

NON-GAAP P/E, MY ESTIMATES
52x FY27E, 39x FY28E (years to June)

CONSENSUS
EPS US$21.74 FY27 (stockanalysis.com), US$32.96 FY28 (Nasdaq.com, Zacks); average target US$1,157

Q1 FY27 GUIDE (11 AUG)
Revenue US$1.225 to 1.275bn; non-GAAP operating margin 39.5 to 40.5%; EPS US$4.05 to 4.35; 102.0m shares

CUSTOMERS, FY26
Two took 26.6% and 15.0% of revenue

FABS
Two indium phosphide wafer fabs in Japan, expanding; Greensboro, North Carolina, bought March 2026, first revenue early 2028

NEXT RESULTS
Q1 FY27 (to September 2026): 5 November 2026, after the US close

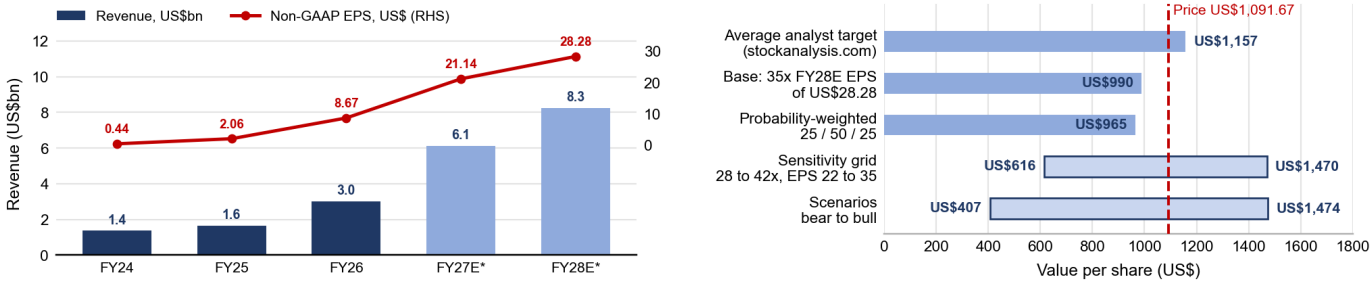
Key financials (non-GAAP unless marked; fiscal years to late June)

US$ billion unless stated	FY24A	FY25A	FY26A	Q1 FY27 guide	FY27E*	FY28E*
Revenue	1.36	1.65	3.01	1.225 to 1.275	6.12	8.26
Revenue growth (%)	-23	21	83		103	35
Gross margin, GAAP (%)	18.5%	28.0%	41.7%			
Gross margin (%)	30.2%	34.7%	46.0%			
Operating income	-0.01	0.16	0.90		2.52	3.43
Operating margin (%)	-0.6%	9.7%	29.8%	39.5 to 40.5	41.2%	41.5%
EPS, diluted (US$)	0.44	2.06	8.67	4.05 to 4.35	21.14	28.28
Consensus EPS (US$)				3.82	21.74	32.96

P/E at US$1,091.67 (x)		126		52	39
Diluted shares (m)	71.2	90.2	102.0	102.0	103.0

**FY27E and FY28E are my own estimates. FY2026 is the year to 27 June 2026; FY2027 runs to June 2027. Income lines are Lumentum's non-GAAP measures, which exclude stock-based pay (US$191m in FY26) and one-off items, including a US$7.76bn non-cash loss on swapping notes for shares in Q4 FY26 (GAAP EPS that quarter: US$-84.65). FY24 non-GAAP figures as recast in the Q4 FY25 release. Consensus: Q1 and FY28 from Nasdaq.com (Zacks), whose Q1 figure sits below the company's own guide; FY27 from stockanalysis.com (Zacks: US$19.78). History from Lumentum's results releases.*

Two charts: earnings that compound, and a value just below the price

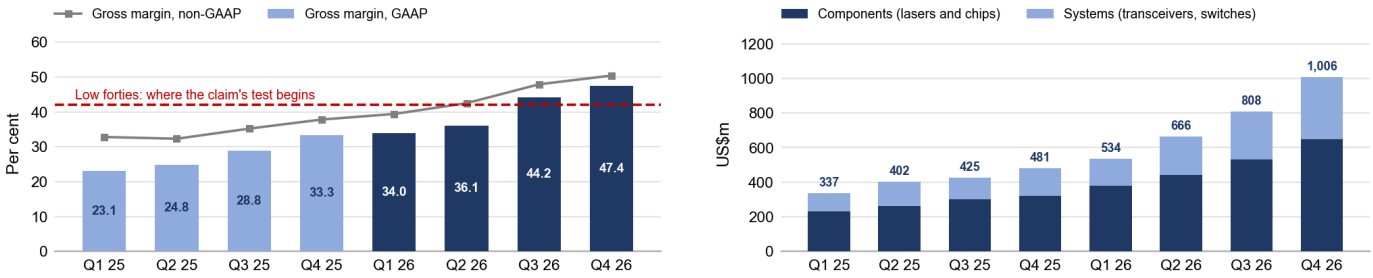


Left: revenue and non-GAAP diluted EPS, FY24A to FY28E; FY24A to FY26A per Lumentum, the rest my estimates. Right: value per share from the base case, the probability-weighted cases, the sensitivity grid and the bear to bull range, against the US$1,091.67 price (red) and the stockanalysis.com average analyst target, retrieved 6 October 2026.

The thesis: a queue at the glassblower's

Go back to the glassblowers from the October piece. Every new AI chip wants a faster torch, and only a few workshops can blow the special glass for its bulb. When the queue runs round the block, a workshop raises its prices and runs its kilns flat out.

Lumentum is one of those workshops. Its lasers, mainly EMLs, are grown on indium phosphide in two wafer fabs in Japan. In the June 2026 quarter components, mainly lasers, grew 103% on a year earlier and systems, mainly transceivers and optical circuit switches, 123%. Lumentum set records for 100 and 200 gigabit EML shipments, and 200 gigabit parts passed a quarter of EML revenue. GAAP gross margin has risen in each of the past eight quarters, from 23.1% to 47.4%. The finance chief put the gain down to fuller factories, a richer mix and higher prices on some products. On the August call Michael Hurlston, the chief executive, said Lumentum was still shipping behind demand for EMLs, expected to be significantly behind at the end of the year, and had repriced some orders.



Left: gross margin by fiscal quarter, GAAP (bars) and non-GAAP (line), against the low forties where the claim's test begins. Right: revenue by fiscal quarter, components and systems. Q4 FY26 is the quarter to 27 June 2026. Source: Lumentum results releases, 7 November 2024 to 11 August 2026.

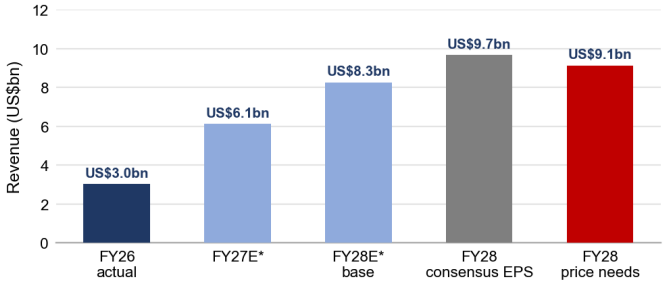
What Nvidia's US$2bn bought

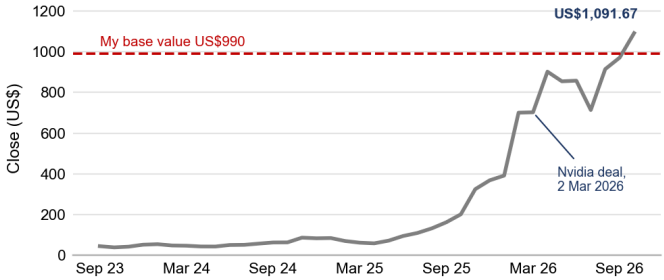
Lumentum's Form 8-K of 2 March 2026, Item 3.02, shows that the US$2bn bought 2,876,415 shares of Series A convertible preferred stock at US$695.31 each, which convert into common shares one for one.

So the US$2bn is a shareholding, not a payment for lasers. At the 5 October close it was worth about US$3.1bn, 57% more than Nvidia paid. The place in the queue comes from a separate, non-exclusive purchase commitment and rights to future capacity, which the joint release calls multibillion but whose size Lumentum has not disclosed. Nvidia's own release says the money supports research, future capacity and operations at a new fab. Nvidia's cost of securing lasers so far is a profitable investment, not a premium price. The claim, that the laser is the bottleneck, survives.

The shortage has a timetable

If the margin is scarcity, the question is when supply catches up. Lumentum is expanding both Japanese fabs and qualifying EML and CW process flows on new tools. It bought a fab in Greensboro, North Carolina, on 17 March 2026 for US$38m and is converting it from gallium arsenide to indium phosphide; Hurlston expects first revenue in early 2028 and full output by the end of 2028. Coherent makes indium phosphide lasers on six-inch wafers, which it says yield four times as many devices as three-inch ones. And on 2 March Nvidia put US$2bn into Coherent too, with its own purchase commitment and capacity rights.





Left: fiscal 2026 revenue, my fiscal 2027 and 2028 estimates, and the fiscal 2028 revenue that the Zacks consensus EPS and the price at 35x each need at my 41.5% operating margin (my derivation). Right: LITE month-end close, September 2023 to the 5 October 2026 close (Nasdaq.com, retrieved 6 October 2026), against my base value.

A buyer that funds two rival suppliers on the same day is building a second source. That is how shortages end. None of this says demand is weak: lasers for 200 gigabit lanes, optical circuit switches and co-packaged optics are all still growing. It says the extra margin that scarcity pays is most at risk in fiscal 2028, the year the price leans on.

Variant perception: what the market prices in, and where I differ

At US$1,091.67 Lumentum is worth about US$98bn on common shares, US$101bn with the preferred, with US$1.1bn more cash than debt. The shares closed at US$149.61 on 10 October 2025 and have risen 196% since the end of 2025. They trade at 126 times FY26 non-GAAP EPS of US$8.67 and 65 times this quarter's guided earnings multiplied by four; on consensus, 50 times FY27 and 33 times FY28.

What the price needs. By October 2027 the market will price fiscal 2028. At 35 times, US$1,091.67 needs FY28 earnings of US$31.19 a share. At my 41.5% operating margin that needs revenue of about US$9.1bn, 3.0 times FY26 and 49% above my FY27 estimate. The Zacks consensus of US$32.96 needs about US$9.7bn on the same margin.

Where I differ. Not on demand, which is real, but on how long the shortage pays. The price assumes volume grows by half again in FY28 and margin holds, in the year the new capacity arrives. My base case has revenue growing 35% with the margin flat at today's level, which is still a strong year.

Valuation, with the working

I value Lumentum on non-GAAP earnings per share, the basis on which it guides, twelve months out, so on FY28. FY27 is built by quarter: revenue of US$1.26bn in the first, within the guide, then US$1.44, 1.62 and 1.80bn, with operating margin rising from 40.0% to 42.0%. I add about US$15m a quarter of interest income and tax at the company's 16.5%. My first quarter EPS is US$4.25, inside the US$4.05 to 4.35 guide. I use 35 times, the median forward multiple of five optical peers. 35 x US$28.28 = US$990.

Scenarios: three cases, twelve months out

Case	What happens	FY28 EPS	Multiple	Value	Change	Weight
Bear	New capacity meets an inventory pause: growth 10%, operating margin 33%	US$18.49	22x	US$407	down 63%	25%
Base	Growth 35%, operating margin flat at 41.5%	US$28.28	35x	US$990	down 9%	50%
Bull	Shortage lasts through 2028: growth 55%, operating margin 45%	US$35.09	42x	US$1,474	up 35%	25%
Weighted	**25 / 50 / 25**			**about US$965**	**down 12%**	

All cases start from my FY27E revenue of US$6.12bn. The bear case is not fanciful: revenue fell 23% in FY24 when customers worked through stock, and non-GAAP operating margin fell below zero. The bull case needs FY28 revenue of US$9.5bn.

Sensitivity: FY28 EPS against the multiple

FY28 EPS	28x	35x	42x
US$22.00	US$616	US$770	US$924
US$28.28	US$792	**US$990**	US$1,188
US$35.00	US$980	US$1,225	US$1,470

Only three of the nine cells sit above today's price. Each needs either 42 times my base earnings or FY28 earnings of US$35, above the consensus, at 35 times or more. Every figure is live in the accompanying model, so a change to growth, margin, tax, shares or the multiple moves the value.

Peer landscape

Company	Ticker	Forward P/E	What they make
Lumentum	Nasdaq: LITE	51.0x	Indium phosphide lasers (EML, CW), transceivers, optical circuit switches, industrial lasers
Applied Optoelectronics	Nasdaq: AAOI	55.3x	Lasers and transceivers for data centres and cable networks
Ciena	NYSE: CIEN	40.8x	Optical networking systems and coherent modules
Coherent	NYSE: COHR	35.5x	Indium phosphide and other lasers, transceivers, materials
Fabrinet	NYSE: FN	26.4x	Contract assembly of optical modules
Broadcom	Nasdaq: AVGO	20.9x	Networking chips, custom AI chips, EML and VCSEL lasers

Forward P/E from stockanalysis.com, retrieved 6 October 2026 during US trading. The peer median, excluding Lumentum, is 35.5 times (Coherent). Multiples only; no view on the peers' shares.

Shares, counted properly

Lumentum guides to 102.0m diluted shares this quarter. My count at US$1,091.67 reaches about 101.7m: 89.7m common, 2.9m preferred, about 3.1m from staff awards and about 6.0m from four series of convertible notes, net of the capped call on the 2032 notes. The notes' US$1.55bn of principal is paid in cash; only the value above each conversion price is paid in shares. The 2032 notes convert at US$187.77 and the capped call stops offsetting them at US$268.24. Holders had asked to convert US$758m of principal by 14 August, so cash will fall by at least that. In fiscal 2026 Lumentum swapped notes for about 10.7m shares in exchanges of 7 April and 29 May, which cut debt by about US$1.1bn.

Catalysts

When	Event	What I watch
5 Nov 2026, after the close	Q1 FY27 results (quarter to Sep 2026)	Revenue against US$1.225 to 1.275bn; GAAP gross margin against 47.4%; Q2 guide
Early Feb 2027 (not yet announced)	Q2 FY27 results	Whether EML supply has caught up; GAAP gross margin above or below 50%
Through 2027	Japanese fab expansions; Coherent's six-inch output	Pricing on new long-term agreements; 200 gigabit EML share
Aug 2027	Q4 FY27 results and FY27 10-K	Customer concentration; capital spending; first FY28 guide
Early 2028	Greensboro first revenue	On time; whether added supply moves GAAP gross margin towards the low forties

Risks: what would hurt the view

The shortage lasts longer. The bull case, and the main risk to a no call that leans short. Lumentum keeps beating its guide, and demand for 200 gigabit lasers, circuit switches and lasers for co-packaged optics is still rising. **The shortage ends faster.** The bear case and the claim's falsifier: new fabs, larger wafers and silicon photonics, which needs simpler lasers, add supply at once.

Few, large buyers. Two customers took 26.6% and 15.0% of FY26 revenue, and most buy on purchase orders without volume commitments, as they showed in FY24. **Capital.** Capital spending was US$451m in FY26 against US$751m of operating cash flow. **Quality of earnings.** Non-GAAP figures exclude US$191m of stock-based pay, and note conversions add shares as the price rises.

What would change my mind

I make no call while my base value sits between 15% above the price and 25% below it; the band is wider on the short side because a short's losses are open-ended when a stock keeps rising.

Into a short: a price above about US$1,320, which would put my base case 25% below it, or GAAP gross margin below 44% in any quarter while revenue still grows. **Into a long:** a price below about US$860, or revenue above US$1.6bn in the December 2026 quarter with GAAP gross margin above 50%, which would show the shortage tightening as capacity grows.

The call is wrong if FY27 revenue reaches US$6.8bn or more with GAAP gross margin of 50% or more in its fourth quarter, or the shares close above US$1,450 or below US$750 by October 2027.

Conclusion

My piece of 5 October argued that the AI network's bottleneck has moved to the laser. The year of results behind it supports that claim: revenue more than doubled, margin rose 14 points and Lumentum still cannot ship enough. Nvidia's US$2bn bought shares, now worth about US$3.1bn, not lasers. At US$1,091.67 the price needs FY28 revenue of about US$9.1bn at today's margins, in the year the new capacity arrives. My call: NO CALL, medium conviction, leaning short; base value US$990, range US$407 to US$1,474. Revisit below about US$860 or above about US$1,320.

Appendix: forecast assumptions

Assumption	FY27E	FY28E	Basis
Revenue, US$bn	6.12	8.26	FY27 by quarter: 1.26, 1.44, 1.62, 1.80; Q1 guide 1.225 to 1.275
Revenue growth	103%	35%	Supply-limited; Greensboro adds from early 2028
Operating margin (non-GAAP)	41.2%	41.5%	Q1 guide 39.5 to 40.5%; Q4 FY26 36.6%
Other income, US$bn	0.060	0.060	Q4 FY26: 0.022 a quarter; cash falls with conversions
Tax rate (non-GAAP)	16.5%	16.5%	Company's long-term non-GAAP rate
Diluted shares, m	102.0	103.0	Q1 FY27 guide, then 1% a year more
Target multiple		35x	Median of five peers: AAOI 55.3x, Ciena 40.8x, Coherent 35.5x, Fabrinet 26.4x, Broadcom 20.9x

Full workings, with live formulas, in the accompanying model, 2026-10-06_Lumentum_Model.xlsx.

Sources

Lumentum quarterly results releases furnished on Form 8-K (Exhibit 99.1), Q4 FY24 (14 August 2024) to Q4 FY26 (11 August 2026), with their comparative periods, for revenue, components and systems, GAAP and non-GAAP margins, EPS, diluted shares and guidance. Lumentum Form 10-K for the year to 27 June 2026 (filed 17 August 2026) for shares outstanding, convertible notes and capped call, early conversions, customer concentration, capital spending, cash flow, Greensboro and Sagamihara. Lumentum Form 8-K of 2 March 2026 (Items 3.02 and 7.01) and its joint release with Nvidia. Coherent Form 8-K, Exhibit 99.1, 2 March 2026. Coherent release of 25 March 2024 on six-inch indium phosphide wafers. Lumentum Q4 FY26 earnings presentation and call, 11 August 2026. Lumentum investor relations event listing (Q1 FY27 call, 5 November 2026). Share prices from Nasdaq.com historical data; consensus EPS from stockanalysis.com and Nasdaq.com (Zacks); multiples and average target from stockanalysis.com; all retrieved 6 October 2026. Estimates for FY27 and FY28 are the author's own.

About this note

I wrote this note and built the accompanying model independently. It is not a product of any bank or broker. It tests a claim from my journal piece of 5 October 2026, thephysicallayer.fyi/journal/lumentum-makes-the-light; all notes and their track record are at thephysicallayer.fyi/research. Figures from company filings are labelled as such; derived figures are marked; the forecasts and view are my own estimates and my own view. I hold no position in Lumentum. Personal research, not investment advice.

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